

FBLA — Introduction to Business Procedures

Supplementary vocabulary & practice questions for deeper review

Generated June 26, 2026 · 52 terms · 32 questions

Note: This is **supplementary** material, researched from the FBLA Introduction to Business Procedures scope and standard business references. It is **NOT** taken from your original study document — it expands on the same topics.

Contents: Part 1 — Vocabulary & Concepts (7 topics, 52 terms) · Part 2 — Practice Questions with answers (32 questions)

Part 1 · Vocabulary & Concepts

Term → definition, grouped by topic.

Communication Process

The path a message travels: Sender → Encode → Message → Channel → Receiver → Decode → Feedback. 'Noise' is any interference that distorts the message.

Nonverbal Communication

Messages sent without words — body language, facial expressions, eye contact, gestures, posture, tone. Often outweighs the spoken words when the two conflict.

Feedback

The receiver's response that tells the sender whether the message was understood — it closes the communication loop.

Modified Block Format

Letter format where the date, complimentary close, and signature begin at the CENTER, while paragraphs stay left-aligned and un-indented. (Full block = everything left-aligned.)

Salutation

The greeting line of a letter (e.g., "Dear Ms. Lee:"). In business letters it is followed by a colon.

Complimentary Close

The polite sign-off before the signature (e.g., "Sincerely,"). Only the first word is capitalized.

Inside Address

The recipient's name, title, and full address, placed above the salutation in a business letter.

Reference Initials

Initials at the bottom of a letter showing who composed vs. typed it (author in CAPS, typist in lowercase: JL/mr).

Blank Endorsement

Just the payee's signature on the back of a check — makes it payable to ANYONE holding it, so it's the least secure.

Special (Full) Endorsement

"Pay to the order of [name]" plus your signature — transfers the check to a specific person.

Restrictive Endorsement

Limits how a check can be used, e.g., "For Deposit Only" — the most secure endorsement for mailing or depositing.

Cashier's Check

A check drawn on and guaranteed by the bank's own funds — more secure than a personal check.

Money Order

A prepaid instrument for a set amount, used when a personal check isn't accepted; no bank account required.

Deposit Slip

A form listing the cash and checks being added to an account, used to record a deposit.

Debit vs Credit (banking)

A debit decreases your account balance (money out); a credit increases it (money in).

Income Statement

Reports revenue and expenses over a PERIOD to show profit or loss (net income). Also called a P&L statement.

Statement of Cash Flows

Shows cash moving in and out over a period across operating, investing, and financing activities.

Gross Pay vs Net Pay

Gross pay = total earnings before deductions; net pay = take-home pay after taxes and withholdings.

LAN

Local Area Network — connects devices in one location (home, office, school). Fast and relatively secure.

WAN

Wide Area Network — connects devices across large distances/multiple locations. The internet is the largest WAN.

MAN

Metropolitan Area Network — spans a city or campus; larger than a LAN, smaller than a WAN.

RAM vs ROM

RAM = temporary working memory, erased when powered off (volatile). ROM = permanent built-in memory that isn't erased (non-volatile).

Input vs Output Devices

Input sends data IN (keyboard, mouse, scanner, mic). Output sends data OUT (monitor, printer, speakers).

CPU

Central Processing Unit — the "brain" of the computer that executes instructions.

Phishing

A scam using fake emails or websites to trick people into revealing passwords or financial information.

Firewall

Hardware or software that blocks unauthorized access to a network while allowing legitimate traffic through.

Cloud Computing

Storing and accessing data and programs over the internet instead of on a local hard drive.

Bit vs Byte

A bit is the smallest unit of data (0 or 1); a byte = 8 bits and typically stores one character.

Law of Demand

As price rises, quantity demanded falls (and vice versa) — the demand curve slopes downward.

Law of Supply

As price rises, quantity supplied rises — the supply curve slopes upward.

Equilibrium Price

The price at which quantity supplied equals quantity demanded; the market "clears."

Perfect Competition

Many small firms selling identical products with no control over price (e.g., commodity farming).

Monopoly

A single seller controls the entire market with no close substitutes — maximum price control.

Oligopoly

A market dominated by a few large firms (e.g., airlines, cell carriers).

Monopolistic Competition

Many firms selling similar but differentiated products (e.g., restaurants, clothing brands).

Opportunity Cost

The value of the next-best alternative given up when you make a choice.

Inflation

A sustained rise in the general price level, which reduces purchasing power.

Fiscal vs Monetary Policy

Fiscal = government taxing and spending (Congress). Monetary = controlling the money supply and interest rates (the Federal Reserve).

Types of Unemployment

Frictional (between jobs), Structural (skills mismatch), Cyclical (recession), Seasonal (time of year).

GDP vs GNP

GDP = output produced within a country's borders. GNP = output by a country's citizens, wherever located.

Office/Mgmt 5 terms

Parliamentary Procedure

Rules (Robert's Rules of Order) for running orderly meetings using motions, seconds, and votes.

Motion

A formal proposal made in a meeting for the group to take action; must be "seconded" before discussion.

Span of Control

The number of employees a manager directly supervises. Wide span = flat org; narrow span = tall org.

Chain of Command

The formal line of authority showing who reports to whom, from top to bottom.

Delegation

Assigning authority and responsibility for a task to a subordinate while remaining accountable for the outcome.

Career 4 terms

Chronological Resume

Lists work history in reverse time order (most recent first) — best for steady, related experience.

Functional Resume

Organizes by skills rather than dates — good for career changers or those with gaps in work history.

Cover Letter

A letter accompanying a resume that introduces you and explains why you fit the specific job.

References

People who can vouch for your work and character; always ask permission before listing them.

Records 3 terms

Cross-Reference

A notation placed in a file pointing to where a record is actually stored (when it could be filed under more than one name).

Geographic Filing

Arranging records by location (country, state, city) — useful for sales territories.

Subject Filing

Arranging records by topic or category rather than by name or number.

Part 2 • Practice Questions & Answers

The ✓ marks the correct choice; the “Why” line explains it.

Communication 4 questions

1. The communication loop is closed when the receiver provides what?

- 1. Encoding
- 2. Feedback ✓ correct**
- 3. Noise
- 4. A channel

Why: Feedback is the receiver's response that tells the sender the message was (or wasn't) understood — it closes the loop.

2. When a person's words and emotions conflict, which usually carries more meaning?

- 1. The spoken words
- 2. Nonverbal communication ✓ correct**
- 3. The email subject line
- 4. The salutation

Why: Nonverbal cues (body language, tone, expression) tend to override the literal words when the two don't match.

3. In a business letter, the salutation is punctuated with a:

- 1. Comma
- 2. Colon ✓ correct**
- 3. Semicolon
- 4. Period

Why: Business-letter salutations end with a colon (e.g., “Dear Ms. Lee:”). A comma is informal/personal.

4. In MODIFIED block format, which elements begin at the center of the page?

- 1. Every line
- 2. The date, complimentary close, and signature ✓ correct**
- 3. Only the body paragraphs
- 4. The inside address

Why: Modified block centers the date, close, and signature while paragraphs stay left-aligned. Full block = everything left-aligned.

5. Which endorsement is the MOST secure for mailing a check to be deposited?

1. Blank endorsement
2. Special endorsement

3. Restrictive endorsement ("For Deposit Only") ✓ correct

4. No endorsement

Why: A restrictive endorsement like "For Deposit Only" limits the check's use, making it safest if lost or stolen.

6. A blank endorsement on a check makes it:

1. Payable only to a named person

2. Payable to anyone who holds it ✓ correct

3. Impossible to cash
4. A cashier's check

Why: A blank endorsement is just the payee's signature — it makes the check payable to whoever holds it, so it's the least secure.

7. Which check is drawn on and guaranteed by the bank's own funds?

1. Personal check

2. Cashier's check ✓ correct

3. Post-dated check
4. Voided check

Why: A cashier's check is paid from the bank's funds and guaranteed by the bank — more secure than a personal check.

8. Which financial statement reports revenue and expenses over a PERIOD of time?

1. Balance sheet

2. Income statement ✓ correct

3. Deposit slip
4. Inventory list

Why: The income statement (P&L) shows revenue minus expenses over a period. The balance sheet is a point-in-time snapshot.

9. Net pay is best defined as:

1. Total earnings before deductions

2. Take-home pay after taxes and deductions ✓ correct

3. Only overtime earnings
4. Pay before bonuses

Why: Net pay = gross pay minus taxes and withholdings — the actual take-home amount.

10. Which network connects devices within a single building or location?

1. WAN
- 2. LAN ✓ correct**
3. MAN
4. VPN

Why: A LAN (Local Area Network) covers one location and is fast/secure. A WAN spans large distances.

11. The internet is the largest example of which type of network?

1. LAN
2. PAN
- 3. WAN ✓ correct**
4. MAN

Why: The internet is a WAN (Wide Area Network) — it connects devices across the entire globe.

12. Which type of memory is VOLATILE (erased when the computer powers off)?

1. ROM
- 2. RAM ✓ correct**
3. The hard drive
4. A flash drive

Why: RAM is temporary working memory that's cleared on shutdown. ROM is permanent, non-volatile memory.

13. A scanner is an example of what kind of device?

1. Output device
- 2. Input device ✓ correct**
3. Storage device
4. Network device

Why: A scanner sends data INTO the computer, so it's an input device (like a keyboard or mouse).

14. Which security tool blocks unauthorized access to a network?

- 1. A firewall ✓ correct**
2. A spreadsheet
3. An OCR scanner
4. A router log

Why: A firewall (hardware or software) blocks unauthorized traffic while allowing legitimate traffic through.

15. A fraudulent email designed to trick you into giving up your password is called:

- 1. Spam
- 2. Phishing ✓ correct**
- 3. Encryption
- 4. A macro

Why: Phishing uses fake emails/sites to steal credentials or financial information.

16. How many bits are in one byte?

- 1. 4
- 2. 8 ✓ correct**
- 3. 16
- 4. 1,024

Why: A byte = 8 bits, and typically stores a single character.

17. According to the law of demand, when the price of a good rises, quantity demanded:

1. Rises
- 2. Falls ✓ correct**
3. Stays exactly the same
4. Becomes unlimited

Why: Law of demand: price and quantity demanded move in opposite directions — the demand curve slopes downward.

18. The price at which quantity supplied equals quantity demanded is called the:

1. Markup price
- 2. Equilibrium price ✓ correct**
3. Break-even price
4. Retail price

Why: At the equilibrium price the market clears — supply equals demand.

19. A market with a SINGLE seller and no close substitutes is a:

1. Oligopoly
- 2. Monopoly ✓ correct**
3. Perfect competition
4. Monopolistic competition

Why: A monopoly has one seller controlling the whole market — maximum price control.

20. A market dominated by a FEW large firms (e.g., airlines) is a(n):

1. Monopoly
- 2. Oligopoly ✓ correct**
3. Perfect competition
4. Cooperative

Why: An oligopoly is dominated by a small number of large firms.

21. Many firms selling similar but differentiated products (restaurants, clothing brands) describes:

1. Monopoly
2. Perfect competition
- 3. Monopolistic competition ✓ correct**
4. Oligopoly

Why: Monopolistic competition = many firms with slightly differentiated products.

22. The value of the next-best alternative you give up when making a choice is called:

1. Sunk cost
- 2. Opportunity cost ✓ correct**
3. Variable cost
4. Fixed cost

Why: Opportunity cost is what you sacrifice — the next-best option not chosen.

23. Which body sets MONETARY policy in the United States?

1. Congress
2. The President
- 3. The Federal Reserve ✓ correct**
4. The FTC

Why: The Federal Reserve controls the money supply and interest rates (monetary policy). Congress handles fiscal policy (taxing/spending).

24. A worker laid off during a recession is experiencing which type of unemployment?

1. Frictional
2. Structural
- 3. Cyclical ✓ correct**
4. Seasonal

Why: Cyclical unemployment is caused by downturns in the business cycle (recessions).

25. GDP measures the output produced:

1. By a country's citizens anywhere in the world
- 2. Within a country's borders ✓ correct**
3. Only by the government
4. Only by exporters

Why: GDP = output within a country's borders. GNP = output by its citizens wherever they are.

Office/Mgmt 3 questions

26. In a formal meeting, a proposal for the group to take action is called a:

1. Quorum
- 2. Motion ✓ correct**
3. Minute
4. Memo

Why: A motion is a formal proposal; it must be seconded before the group discusses and votes.

27. The number of employees a manager directly supervises is called the:

1. Chain of command
- 2. Span of control ✓ correct**
3. Quorum
4. Org chart

Why: Span of control = how many subordinates report directly to one manager. Wide span = flatter organization.

28. The set of rules (Robert's Rules of Order) for running orderly meetings is called:

- 1. Parliamentary procedure ✓ correct**
2. Due process
3. Chain of command
4. Standard operating procedure

Why: Parliamentary procedure governs motions, seconds, debate, and voting in meetings.

Career 2 questions

29. Which resume type lists work history in reverse time order (most recent first)?

1. Functional resume
- 2. Chronological resume ✓ correct**
3. Combination resume
4. Reference sheet

Why: A chronological resume lists jobs newest-to-oldest — best for steady, related experience.

30. Which resume is organized by SKILLS and is good for career changers or work gaps?

1. Chronological resume
- 2. Functional resume ✓ correct**
3. Cover letter
4. Portfolio

Why: A functional resume emphasizes skills over dates, helping hide gaps or a career switch.

31. A notation that points to where a record is actually filed is called a:

1. **Cross-reference ✓ correct**
2. Tickler
3. Abstract
4. Index tab

Why: A cross-reference directs you to the record's real location when it could be filed under more than one name.

32. Filing records by country, state, and city is which filing method?

1. Alphabetic filing
2. **Geographic filing ✓ correct**
3. Numeric filing
4. Chronological filing

Why: Geographic filing arranges records by location — useful for sales territories or regional offices.
